Euroz Hartleys Group EZL

June 25, 2026 - 8:10am EST
by snapper_capital

			2026	2027
Price:	1.26	EPS	0.06	n/a
Shares Out. (in M):	165	P/E	20.17	n/a
Market Cap (in $M):	208	P/FCF	5.28	n/a
Net Debt (in $M):	-93	EBIT	16	0
TEV (in $M):	115	TEV/EBIT	7.11	n/a

Description

Executive Summary

Euroz Hartleys (ASX: EZL) is a Perth-based financial services business operating under two main divisions. The first is a Capital Markets arm focused on institutional broking, equity capital markets, and corporate advisory for (primarily) WA resources companies. The second is a Private Wealth business managing $5.1 billion in client FUM. The market values EZL on a compressed multiple because corporate advisory and capital raisings are wildly cyclical, and that volatility obscures the quality of the wealth management business sitting underneath it.

The thesis has two aspects, the first of which is a near term catalyst. EZL has confirmed it is in exclusive discussions with BMO Financial Group (Bank of Montreal) regarding the sale of its Capital Markets division for $145m cash, with exclusivity running to 30 June 2026. If completed, the transaction would leave EZL holding approximately $211m in liquid assets against a current market cap of $204m. The board would then face a straightforward choice between returning that capital to shareholders or redeploying it to accelerate the growth of the wealth business.

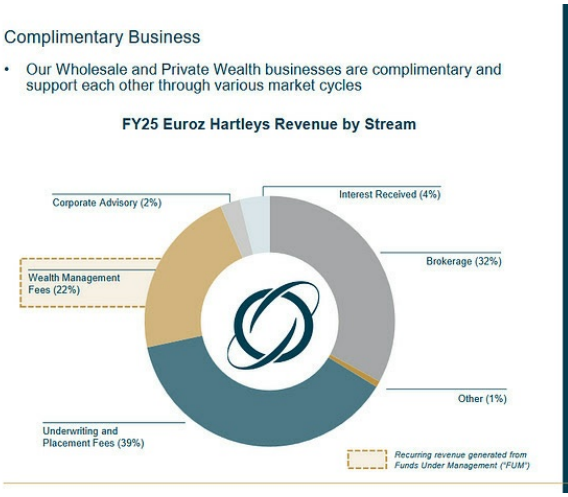
Furthermore, EZL is trading at a significant discount to a relatively conservative sum-of-parts valuation of $298m to $310m, built from the BMO proposal price for the Wholesale division ($120m after tax), a 1.75% to 2.0% FUM multiple on the Private Wealth segment ($89m to $102m), freely deployable cash ($68M), and listed investments ($20m). This valuation implies a share price of ~$1.85, which is roughly 50% above the current price and market cap of $204m. The gap is wide enough that the market appears to be pricing in almost no probability of the BMO transaction completing, which seems too pessimistic given the board has already granted exclusivity to a motivated, well-capitalised buyer.

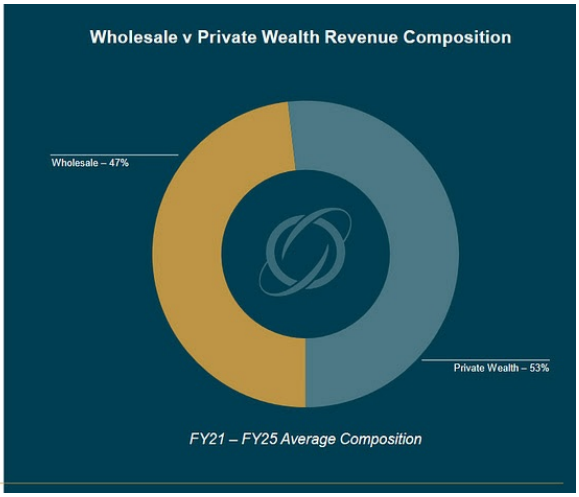
If the transaction does not proceed, the downside is a well-capitalised, debt-free business with 42% insider ownership, a 26-year track record of fully franked dividends, strong directorial buying at the 2024 lows, and a Private Wealth segment compounding FUM at 15% per half. On forward earnings of roughly $27.7m the stock trades at approximately 7.3x PE, with a forward EV/EBIT of around 2.8x after stripping out the cash. At current earnings a 60-70% payout ratio implies a fully franked forward yield of around 8%.

The key risk is that the BMO deal falls over and the business is re-rated as a standalone cyclical broker, which is roughly where it trades today. The bear case is that the deal falls over at the same time commodity markets roll over, compressing earnings back toward the FY24 trough. Even then, the cash balance, insider alignment, and FUM base provide a reasonable margin of safety at current prices.

Background

Founded in 2000, Euroz Hartleys Group (EZL) is a Perth-based financial services business operating two divisions: a Capital Markets arm (institutional broking, ECM, and corporate advisory focused on WA resources) and a Private Wealth business managing $5.1 billion in client FUM. The revenue split across these segments is roughly even (Private Wealth at 53%, Wholesale at 47% through FY21-25).





Following the 2020 merger with Hartleys, the company spent several years simplifying its corporate structure and returning excess capital, culminating in a $23m capital return in mid-2025 (the ATO ruled this payout as a capital return rather than a taxable dividend). Across its life, the company has returned over

$364m in fully franked dividends and $63M in capital to shareholders.

Just compare the adjusted (for dividends) price chart vs the unadjusted price chart:



EZL:ASX Unadjusted (2000-2026)



EZL:ASX Adjusted for dividends (2000-2026)

While still not taking into account adjustments for formal capital returns. Notice again the cyclicality of this business represented in the share price.

Operationally, the firm remains heavily geared toward its specialist small-to-mid-cap institutional dealing desk, leaning into WA resources, energy, and mining services. This focus meant the business felt the full weight of the 2021 to 2024 cyclical downswing. As inflation and rising interest rates reduced small-cap liquidity and slowed down broader equity Capital Markets activity, underlying profitability tightened significantly. The unadjusted share price fell from a high of around $2.40 in 2021, to around $0.80 in 2024.

Driven by a resurgence in commodity markets (read: gold price boom) and increased activity in the IPO and M&A pipeline, equity raisings for the first half of the 2026 financial year surged by 84% compared to the previous corresponding period. While commodity prices have shown recent volatility, the appetite for capital to return to the resource industry has structurally increased.

Current Situation

Wholesale Segment

EZL recently confirmed that it is in discussions with BMO Financial Group (Bank of Montreal) to acquire (subject to various conditions) the Capital Markets business for cash consideration of $145m. These discussions take the form of a period of exclusivity to 30 June, 2026. If this transaction occurs, net proceeds will be subject to corporate tax on any capital gain realised on the sale, which could reduce the headline $145m by an estimated $20-30m depending on the cost base of the divested assets. This will take total cash (not including restricted cash) and listed investments to around $211m against a current market cap of $204m.

EZL has confirmed that one of the conditions includes the formation of a strategic alliance between the Capital Markets and Private Wealth businesses. It's not hard to see that these businesses are complementary in nature. Private Wealth clients often participate in capital raisings originated by the Wholesale team. The loss of one has negative ramifications on the other, potentially amplifying the cyclicality of the overall business.

The price of $145m looks reasonable but not generous. Capital Markets generated $39.1m in revenue and $8.82m in NPAT in H1 FY26 alone, implying annualised figures of roughly $78m and $17.6m respectively. That puts the BMO proposal at approximately 1.9x revenue and 8.2x NPAT. These are reasonable multiples for a cyclical broking business, but look cheap if the current run continues. Either way, the price looks attractive enough to BMO that deal completion seems more likely than the market is currently pricing in.

While the board's official line is that they remain "committed to the strategic direction and continued growth of the company on a standalone basis," the setup creates a pretty compelling case for the eventual sale of the Private Wealth business. The reasons are as follows:

1. The "Clean" Valuation Re-rate

The market assigns EZL a compressed multiple because of the cyclical overhang from the corporate advisory and capital raising business. Wealth management is the exact opposite, it's predictable, sticky, and valued on much higher multiples. Stripping away the volatile Capital Markets desk leaves a clean, pure-play wealth business that's far easier for a larger buyer to value, and potentially overpay for.

2. The Burden of Being Listed

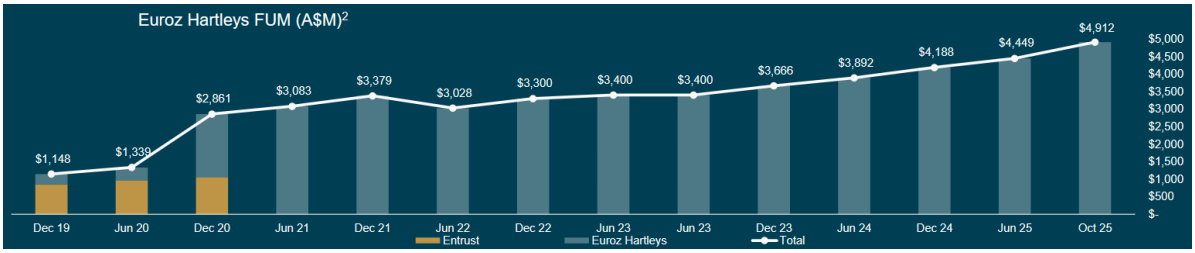
If EZL shrinks down to a standalone wealth business, the overhead of maintaining an ASX listing becomes a drag on margins. A larger wealth consolidator could absorb the Private Wealth arm, strip out the redundant corporate structure, migrate advisors onto their existing platform, and capture those savings.

3. BMO as the Logical Follow-on Buyer

While BMO is starting with a strategic alliance designed to maintain access to EZL's retail distribution network for institutional deal flow, cross-company partnerships can decay over time. If the referral pipeline starts slipping, or BMO decides they want total control over wealth distribution in Western Australia, they're the most obvious deep-pocketed buyer to return and sweep up the rest of the business.

Private Wealth Segment

EZL's Private Wealth segment has demonstrated strong momentum, with funds under management growing from $4.45B in June 2025 to $5.1B by December 2025. This is a rise of roughly $650m, or approximately 15%, in just six months.



This segment makes its money from a sticky base of high-net-worth clients who pay recurring, asset-based fees. Using the average of those two figures gives roughly $4.77B in average FUM over the period. The wealth management fees for the half year totalled $12.29m, so at a $24.6m (annualised rate) divided by $4,770m FUM equals approximately 0.52% annualised fee rate. Private Wealth also generated $16.35m in brokerage and $7.57m in underwriting/placement fees in the half. Overall, Private Wealth generated $6.23m profit before tax on $37.38m revenue in the half, a pre-tax margin of about 17%. This margin reflects the reality that this is an advice-led business rather than a pure funds management operation (employee cost base of $26.5m against $37.4m in revenues).

The cost base is largely fixed, so incremental FUM growth flows disproportionately to the bottom line. On comparables, the most relevant transaction is Adamantem Capital's April 2025 acquisition of Mason Stevens at roughly 2.5% of FUM, though Mason Stevens is a technology-enhanced platform business and likely commands a premium to a pure advice firm. The closest listed peer, Fiducian Group (ASX: FID), trades at around 1.75% of its $15.6B FUM base. Applying a 1.5% to 2.0% multiple to EZL's $5.1 billion implies a standalone Private Wealth value of $76m to $102m.

Valuation

EUROZ Hartleys Group Ltd Valuation

Price	MktCap	EV	Revenue	Div Yield	Debt/Equity	P/S	EV/EBITDA	EV/EBIT	P/B	P/TB	Trailing P/E
1.24	204.38	99.35	97.75	5.43	0.95	2.09	5.44	6.15	1.79	2.67	19.92

P/CFO	P/FCF	P/Div	P/Cash	P/NCash	P/NN	Interest Cov	Service Cov	Asset Cov
5.21	5.22	20.67	1.73	1.95	3.79		33.34	14.15

EZL:ASX Ratios (FY25 results)

EZL trades at $1.24 (at time of writing), implying an equity value of the business of approximately $204m. Subtract $67.6m in unrestricted cash and $20.4m in investments, with no outstanding debt, and we get an enterprise value of approximately $116m. About $34m of the total cash on the balance sheet is restricted cash, held as ASX margin requirements and segregated client trust funds not available for general use.

The company made about $10m in NPAT last year, with about $16.2m in EBIT (PE of roughly 20x and EV/EBIT of around 7.1x). The company recently stated that un-audited NPAT for the H1 FY26 period was approximately $13.84m (a 121% increase on PCP). Assuming a similar second half, annualised FY26 NPAT tracks toward roughly $27.7m. This would put the business on an approximately 7.3x forward PE ratio.

From the H1 FY26 income statement, profit before tax was $19.96m and finance costs were $440k, giving H1 EBIT of approximately $20.4m. Doubling that gives a forward EBIT of roughly $40.8m, which would put the forward EV/EBIT at approximately $116m / $40.8M = 2.8x. A more conservative normalised EBIT through the cycle is probably closer to $20-25m, implying a normalised forward EV/EBIT of around 4.5-5.5x.

The current trailing dividend yield sits around 5%, but on annualised forward earnings of roughly $27.7m, a 60-70% payout ratio implies a fully franked yield of about 8%.

I'll note that the business had a very good H1 FY26, so these numbers depend on an equally strong second half.

Sum-of-the-Parts

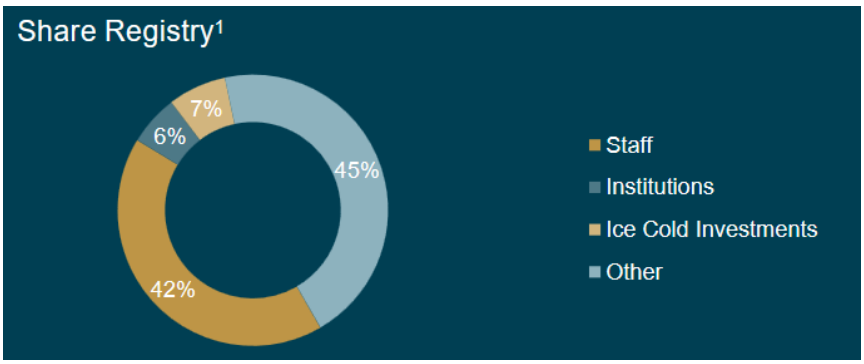
The Wholesale business has a concrete market reference point in BMO's proposal, valuing it at $145m. With due diligence actively underway and exclusivity granted, it represents the best available external read on what the Capital Markets division is worth to a motivated buyer. I'm estimating a $20-30M CGT bill at the corporate level, based on existing goodwill on the balance sheet (for the calculations below, I'm using the midpoint of $25m).

The Private Wealth segment, as outlined above, is reasonably valued at 1.75% to 2.0% of FUM based on the Fiducian market comparable and the Mason Stevens transaction. Applied to $5.1B in FUM, that implies a standalone value of $89m to $102m.

Adding those two together gives a combined operating business value of $209m to $222m. Add freely deployable cash of $68m and listed investments of $20m, and the total sum-of-parts value lands in the range of $298m to $310m against a current market cap of $204m. That implies roughly 50% upside to a conservative sum-of-parts, before any premium for the quality of the franchise or the optionality of the BMO process.

Ownership

There is strong insider ownership with EZL, with approximately 42% of the outstanding shares held by current and former staff. This can be largely attributed to long tenures and equity-based incentives. Institutions own a small piece (around 6%), with Ice Cold Investments (the investment vehicle for Geoffrey Brown) holding another 7%. The stock is relatively illiquid, meaning a major fund can't buy a large stake on market without affecting the share price. HNW and retail make up the rest of the approximately 45%.



Andrew McKenzie (Executive Chairman) owns about 8%. Jay Hughes (co-founder and Sales Director) owns another 7.29%. Directors have been net buyers of the stock, particularly during the 2024 lows of 80 cents, timing the bottom to near perfection.

Risks

The most obvious risk is cyclicality. The business is essentially long gold and long WA mining. In FY24, a tough year for small-cap ECM, EZL produced NPAT of just $5.5M. At today's share price that implies a trough PE of around 37x. The Private Wealth FUM base provides an earnings floor that didn't exist in prior cycles, but the Capital Markets division can swing from highly profitable to near-breakeven inside a single year. If the BMO deal falls over and commodity markets roll over simultaneously, the stock likely revisits the $0.80 lows of 2024.

On the Private Wealth side, every $500m decline in FUM is roughly $2.6m in annualised revenue lost at the current fee rate. Additionally, key person risk is real

in a firm of this size, though long tenures across the board and management team provide some comfort.

If the BMO deal proceeds but the strategic alliance fails to maintain referral flow between the two businesses, the Private Wealth revenue mix deteriorates. Separating businesses that have been run as a complementary unit for years is a potentially difficult endeavour.

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Catalyst

The most immediate catalyst is resolution of the BMO discussions. Confirmation of a completed sale of the Capital Markets business at $145m would provide an immediate re-rate. Combined with existing cash and investments, the company would be sitting on approximately $211m in liquid assets against a current market cap of $204m. At that point the board could either return the bulk of it to shareholders via a capital return, or redeploy it into the Private Wealth business to accelerate growth.

If the deal does not proceed, the dividend stream remains the primary return mechanism. On annualised forward earnings of roughly $27.7m, a 60-70% payout ratio implies a fully franked yield well above the current market rate.

Longer term, continued organic FUM growth is likely what drives future returns. A 15% increase in six months suggests the wealth business compounds in the background, making the sum-of-parts discount harder for the market to ignore over time.

Messages

Subject	Private Wealth valuation
Entry	07/23/2026 05:24 AM
Member	FuzzyLogic

Hi snapper_capital. I'm not sure whether this idea got you accepted, but if so I'd like to enquire about the valuation you've placed on Private Wealth. I liked the setup overall regarding the sale of Wholesale to BMO and likely return of those proceeds creating a cheap (free) Private Wealth business.

Effectively, as I understand it, at the current price all of the return comes from the value placed on Private Wealth since the excess cash + investments + Wholesale after-tax sale proceeds are broadly equal to the current market cap. You've said you thought that business is worth 1.5% - 2% of the FUM and cited Fiducian as the main comp. But when I look back at the annual NPAT of Private Wealth since 2020 it really doesn't seem to justify that kind of valuation - even if we double H1 26 NPAT to $8.6m and take the average annual NPAT since Hartleys was acquired, we get about $4m p.a. which is a ±20x P/E multiple on the 1.5% of FUM valuation. Fudician, by contrast, has greater scale, its own funds and earns a very steady, growing margin on its revenues but consistently trades below that P/E. So are you expecting significant costs to come out of the Private Wealth business to justify this valuation? I know you said it's ripe for acquisition, but are you saying an acquisition (that can strip out costs) is necessary for Private Wealth to be valued based on its FUM? That makes the idea tougher to assess since such an acquisition is somewhat speculative at this stage and in the distant future if it does occur.

I just wanted to make sure there wasn't something I was missing here.

Thanks

Fuzzy